

A to Z

Easy Guide

For better handling of PETTY CASH

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Purpose of Petty Cash

Petty cash is used to handle small, everyday expenses quickly and efficiently without the need for formal procurement or expenditure approval processes.

What can be paid out of Petty Cash?

Any day-to-day minor expenses below Rs. 2,000/- can be paid out of petty cash simply with the approval of the branch manager/head of the unit/division or department without referring to the HO-Finance Department for approval. However, a prior approval should be obtained from respective head of the product or Department under following circumstances.

a). **Fixed Deposits** – If any petty cash payment is required to be made in relation to the fixed deposit mobilization or administration, prior approval should be obtained from the Head of the Fixed Deposits, authorized officer Communication. A copy of the approval should be attached to the petty cash payment voucher as supporting document.

b). **Office Maintenance** – If any payment is required to be made in relation to the office maintenance, prior approval should be obtained

from the authorized officer and a copy of the approval should be attached to the petty cash voucher to support the payment.

c). **Promotion Campaigns** – Any promotional expenses to be made, prior approval should be obtained from the respective product head.

However, petty cash should not be used to pay expenses related to credit facilities (loans & leases) such as investigation expenses, carrier charges, legal expenses etc.

Who is Responsible for Petty Cash?

- Petty Cashier
- Branch Managers/Deputies
- Department Heads/Deputies
- Accountant
- Chief Manager – Payments
- Manager – Finance
- Manager – Finance Operations
- AGM-Finance
- SDGM – Finance

Key –Facts

- **Float** – is the fixed amount of money that should be held by the petty cashier. The amount of the Petty Cash Float shall be determined with the consultation of an authorized officer depending on the transaction volume of the branch which varies from one branch to another.
- **Petty Cashier** – is the officer appointed by Finance Department for a branch, unit, division or a department to handle the petty cash expenses and all affiliated functions. The Petty cashier shall be responsible as the custodian (cash holding officer) of the petty cash float and as the coordinator between the branch/unit/division/department and the Finance Department of the Head Office with regard to all other related functions. Other than the petty cashier of each branch, currently there is only one Petty Cashier attached to the Finance Department who serves all units/divisions/departments of the head office
- **Petty Cash Threshold** – The single amount of petty cash expense has been determined as Rs. 2,000/- (Two Thousand) and therefore, any petty expenditure should not be more than Rs. 2,000/-). Multiple petty cash vouchers should not be used to pay an expense if any expenditure exceeds Rs. 2,000/-.
- **Reimbursement** – The process of topping up the amount of petty cash spent / paid on expenses at a certain level. Petty cashier shall need to make a request from the Finance Department before it drains off.

- **Petty Cash Voucher** – An officer who applies for petty cash expenditure should obtain approval from the respective superior. Once the approved supporting documents are produced, the Petty Cashier shall fill out the “Petty Cash Voucher” ensuring continuity of the sequential order of petty cash vouchers.
- **Approved Officer** – The Branch Manager, Head of the Unit/Division or Department shall be the designated officer who can approve petty cash expenses.

Setting up Petty Cash Funds and periodic Review

1. **Authorization:** Authorized officer of Head of Finance decides who approves petty cash payments, the Float amount, and the “per petty cash” spending limit.
2. **Custodian:** Authorized officer appoints a Petty Cashier who is responsible for managing and safeguarding the petty cash keeping the cash in his/her custody.
3. **Changing Custodian:** When changing the Petty Cashier, the outgoing custodian must duly hand over the float upon a physical count of the remaining cash together with the Petty Cash Register and supporting documents to the new custodian after officially signed off by Authorized officer.

Operating Procedure

1. Making Payments:

- Use petty cash only for authorized expenses
- Use the specific voucher (i.e. Petty Cash Voucher”) to claim the expenditure
- Each petty cash transaction should not exceed Rs. 2,000. However, expenses for tea, month-end meals or meals for those who work late, and travel expenses, which can exceed Rs. 2000 can also be paid after obtaining prior approval from the HR Department or respective department.
- Every detail of the Petty Cash Voucher should be duly filled in

Serial No: Every Petty Cash voucher shall carry a pre-numbered serial number. A Petty cash voucher without a serial number is not a valid voucher and Petty Cashier should not accept such vouchers. An officer, if observed a Petty cash voucher without a serial number being used, that should be bring that to the immediate notice of the superior officer/s. If petty cash voucher is cancelled, the voucher should be attached to the immediate next voucher bundle.

Payee: Name of the person who requests the petty cash expense and shall be the same person who signs below acknowledging the receipt of cash.

Date: Current date on which the request is made.

Particulars: A clear and precise description of the payment should be included in the cage provided.

Amount in words: The requested amount should be included in wordings in addition to the amount included in figures under the given columns.

Authorized By and Approved By:

a). For Branch Petty Cash expenses – The Branch Manager shall be the “Authorized officer” who should sign and authorize to pay after carefully scrutinizing the payment. Those petty cash payments should be forwarded to the Finance Department at the earliest possible time for reimbursement. A designated authorized officer of the Finance Department shall approve the petty cash payment and sign for approval in the voucher.

b). For Head Office Petty Cash expenses – The respective Head of the Unit/Division or Department shall be the Authorized Officer who should sign and Authorize payment. A designated authorized officer of the Finance Department shall approve petty cash expenses in the Head Office.

2. Supporting Documents:

- Every payment should be justified with supporting documents. Therefore, you should attach receipts or bills to the petty cash voucher.
- If you are not able to provide any supporting documents for certain transactions, an approval should be obtained from the authorized officer and the same should also be attached to the petty cash voucher.

- If receipts/bills are missing, obtain written approval from the department head /branch manager. If repetitive incidents are observed, prior approval should be obtained from the Authorized officer.

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3. Payment for Petty Cash Voucher:

- Raise a voucher for the exact amount or the rounded up to the nearest rupee and get it approved by the designated finance officer.
- Verify the authenticity of documents before payment.
- Ensure that the petty expense claims should be within 7 days from the date of expense.
- Disburse cash only against an approved voucher and obtaining an acknowledgment for receipt from the payee is mandatory.
- Cash should not be paid against any petty cash request if the voucher is incomplete or approval is pending.
- Payments should not be released to third parties. If the Petty Cashier comes across any requests for payments to 3rd parties other than the beneficiary, should be brought to the attention of superiors.
- Immediately upon payment, the petty cash payment should be updated in the GL through the following Petty Cash data input interface.

4. Daily Checks and monitoring:.

- Update the Petty Cash Book transaction wise to reflect all transactions and balance at any given time.
- All petty cash transactions should be promptly updated in the GL as no manual Petty Cash book is maintained for eliminating duplication of work. A view of the Petty Cash Book is as given below.

- Record all cash transactions in a record book to ensure maintaining a physical record.
- An Excel sheet is used by the Petty Cashier to keep a record of the daily transactions simultaneously with the GL.
- Balance the petty cash float and verify with physical cash at the end of the day.
- At the end of the day, GL transactions are reconciled with the Excel sheet to ensure the accuracy of the transactions and the closing balance.

5. Shortages and Excesses

- Petty Cashier should carefully pay for Petty Cash requests after verifying the details and recalculating where he/she gets doubts.
- Petty Cashier should take extra care to avoid making short/excessive payments.
- Cash shortages or surpluses should be reported immediately.
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6. Reimbursement Request:

- Based on the requirement, each branch and HO Finance department has been given preapproved petty cash limits (Note-1)
- Before the petty cash balance drops to 1/3 of the float, prepare a summary of expenditures and submit it for reimbursement.
- Petty Cashier shall need to prepare a schedule of petty cash payments in the following format to reflect the remaining petty cash balance or by downloading a ledger report and forwarding the request to the Finance Department for reimbursement.

7. Reconciliation:

- The Accounts Reconciliation Unit checks the reimbursement summary and vouchers before raising a cheque.
- The General Payment Unit processes the reimbursement request and print/issue a cheque.

- A cheque is issued in favour of the branch manager which should be encashed from the Main Cashier. I.e. Valibel Finance PLC on/ac of (Name of the branch manager).

8. Security:

- Store cash in a locked cash box. The Petty Cashier is responsible for the security of the cash.
- The cash Box should be lodged in the Main Cash Vault at the end of the day for safety.

 Vallibel Finance PLC Petty Cash Reimbursement							
Branch							
Statement Date							
Date range							
Account	TIN No	Tax Date	Narration	Amount	Cancel	Cancel Date	
PC: STAFF WELFARE EXPENSES	CMH000000408	4-Jul-19	5936-BEING PAYMENT OF MEAL EXPENSES FOR THE WARAKAPOLA INVESTIGATION - Cancelled	-	CANCELLED	11-07-19	
PC: TRAVELLING EXPENSES	CMH000000409	4-Jul-19	5937-BEING PAYMENT OF TRAVELING EXPENSES FOR THE WARAKAPOLA INVESTIGATION (RECOVERY DEPT) - Cancelled	-	CANCELLED	11-07-19	
PC: TRAVELLING EXPENSES	CMH000000412	9-Jul-19	5950-BEING PAYMENT OF TRAVELING EXPENSES FOR DOCUMENTS COLLECT FROM HNB YAKKALA BRANCH	845.00	-		
PC: COURIER CHARGES	CMH000000413	9-Jul-19	5951-BEING PAYMENT OF DIRECT COURIER CHARGES	1,240.00	-		
PC: TRAVELLING EXPENSES	CMH000000414	9-Jul-19	5952-BEING PAYMENT OF TRAVELING EXPENSES FOR THE MAHARAGAMA TO KALLIBOWILA (AFTER THE BRANCH MEETING)	400.00	-		
PC: TRAVELLING EXPENSES	CMH000000415	9-Jul-19	5953-BEING PAYMENT OF TRAVELING EXPENSES FOR THE MAHARAGAMA TO BATUWANDARA (AFTER THE BRANCH MEETING)	400.00	-		
PC: TRAVELLING EXPENSES	CMH000000416	9-Jul-19	5954-BEING PAYMENT OF TRAVELING EXPENSES FOR THE WATTEGEDARA & COME BACK (UNION PRINTER - FOR HAND BILL PRINT)	100.00	-		
PC: BUSINESS PROMOTION EXPENSES	CMH000000417	9-Jul-19	5955-BEING PAYMENT OF BUSINESS PROMOTION EXPENSES FOR PAWNING HAND BILL PRINT & CUTTING	2,000.00	-		
PC: COURIER CHARGES	CMH000000418	10-Jul-19	5956-BEING PAYMENT OF DIRECT COURIER CHARGES	840.00	-		
PC: OFFICE MAINTAINANCE EXPENSES	CMH000000419	10-Jul-19	5957-BEING PAYMENT OF BATTERY EXPENSES FOR SECURITY SYSTEM REMOTE	960.00	-		
PC: STAFF WELFARE EXPENSES	CMH000000430	10-Jul-19	5958-BEING PAYMENT OF MEAL EXPENSES FOR BUSINESS PROMOTION DAY	500.00	-		
PC: TRAVELLING EXPENSES	CMH000000431	10-Jul-19	5959-BEING PAYMENT OF TRAVELING EXPENSES FOR BOARD PRINTING NAWINNA	150.00	-		
Total Expenses				7,435.00			
				100	1,500.00		
				Cash In Hand	16,065.00		
				Float	25,000.00		

PETTY CASH EXPENSES - CLASSIFICATION

01. STAFF WELFARE EXPENSES.

- MONTHEND WORKING MEAL EXPENSES & LATE DUTY MEAL EXPENSES.
- FUNERAL FLOWER WORTH EXPENSES.
- COCONOT OIL, VIM, HAND WASH, SOAP EXPENSES.
- TISSUE & TOILET PAPER EXPENSES.
- FOR WATER BOTTEL EXPENSES.
- MEDICINE EXPENSES (FIRST AID GOODS).

02. TRAVELLING EXPENSES.

- HEAD OFFICE VISIT TRAVELLING EXPENSES.
- MONTH END & LATE DUTY PURPOSE TRAVELLING EXPENSES.
- CASH,CHEQUE BANKING & POST OFFICE TRAVELLING EXPENSES.

03. OFFICE MAINTAINCE EXPENSES.

- PURCHASE BULBS, BATTERIES, PADLOCK & OTHER MAINTAINCE EXPENCES.
- GARBAGE BAG & CLEANING EXPENSES.
- VEHICLE WASHING EXPENSES.
- GENERATOR FUEL EXPENSES.
- PAWNING SCALE REGISTRATION CHARGES.
- PURCHASE NUTRIC ACID & SALT EXPENSES.

04. STATIONARY EXPENSES.

- NEWS PAPER EXPENSES.
- A4 SHEETS & OTHER STATIONARY ITEM PURCHASING EXPENSES.

05. POSTAGE EXPENSES.

- STAMP CHARGES & LETTERS REGISTER POSTING CHARGES.
- TELEMAL CHARGES.

06. BUSINESS PROMOTION EXPENSES.

- LEAFLET, PAWNING STICKERS PRINTING EXPENSES.
- PURCHASING BIRTHDAY CAKE FOR CUSTOMERS & NEW SALE OPENING.
- PAWNING, MARKETING LEAFLET CAMPAING FROM NEWS PAPER.
- CHRISTMAS & WESAK FESTIVAL RELATED DECORATION EXPENSES.

07. PROMOTION CAMPAIGN EXPENSES.

- REFRESHMENT FOR FD, MARKETING, PAWNING RELATED CAMPAIGNS.
- ANY OTHER PROMOTION CAMPAIGN RELATED EXPENSES.

GL Narration Ex.

- BEING PAYMENT FOR MONTHEND WORKING MEAL EXPENSES & LATE DUTY MEAL EXPENSES.
- BEING PAYMENT FOR HEAD OFFICE VISIT TRAVELLING EXPENSES.
- BEING PAYMENT FOR PURCHASE BULBS, BATTERIES, PADLOCK & OTHER MAINTAINCE EXPENCES.
- BEING PAYMENT FOR NEWS PAPER EXPENSES.